Memo

TO: Dana Whitfield, VP Operations
FROM: Sam Okafor, Fulfillment Manager
DATE: October 28, 2026
SUBJECT: Approve a 60-day NorthRoute pilot by November 15

Please approve a 60-day pilot of NorthRoute for domestic lower-48 parcels, starting January 6, 2027, and tell me by November 15. NorthRoute quoted $6.95 per parcel against SwiftShip's $8.40, which saves about $1,667 a month at our 1,150 parcels. The cost is an earlier packing cutoff and a damage rate we have not verified.

Why

The saving is ($8.40 - $6.95) x 1,150 = $1,667 a month, computed from the quote and our current volume. Alaska and Hawaii are 2.1% of orders and NorthRoute does not serve them, so they stay on SwiftShip and the real saving is slightly lower.

Risks

- Cutoff: NorthRoute picks up at 3pm; SwiftShip picks up at 5pm. Orders placed between 3pm and 5pm would ship the next day. I propose moving our packing cutoff to 2:30pm so we still hand off by 3pm.
- Damage claims: NorthRoute's sales sheet says 1.1%. We measured SwiftShip at 0.8% last year. The NorthRoute figure is theirs and unverified. If it holds, extra claims will eat part of the saving. [needs: cost per damage claim]
- Customer experience: Customers like next-day delivery. We had 14 late-shipping complaints last year, all on SwiftShip. [needs: share of orders placed between 2:30pm and 5pm]

The pilot

The pilot runs 60 days from January 6, 2027, lower 48 only. I would track damage claims and late-shipping complaints against our SwiftShip numbers, and compare them at the end. SwiftShip's contract needs 30 days' notice to cancel, with no fee. Because Alaska and Hawaii stay on SwiftShip, I need your call on whether to give notice or keep the contract through the pilot. [needs: decision on SwiftShip notice]

Decision needed

Approve or decline by November 15 so I can set up the NorthRoute account before January 6.